



Cambridge International AS & A Level

ECONOMICS

9708/32

Paper 3 A Level Multiple Choice

October/November 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages.

2

Equi. marginal principle $\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$

1 If consumers aim to maximise their utility, how will they arrange their spending?

- A to obtain the same total utility from each commodity
- B to obtain the same total utility per \$ spent on each commodity
- C to obtain the same utility from the last unit of each commodity
- ✓ D to obtain the same utility from the last \$ spent on each commodity

} MU needs to be same, not total utility.

(It's always last \$ spend)

MU

Price

2 Which feature of indifference curve theory is most likely to apply in reality?

- A The consumer can express preferences between all possible combinations of goods.
- ✓ B The consumer has a limited income to spend.
- C The consumer will always behave rationally.
- D The consumer will always get positive utility from having more of the goods.

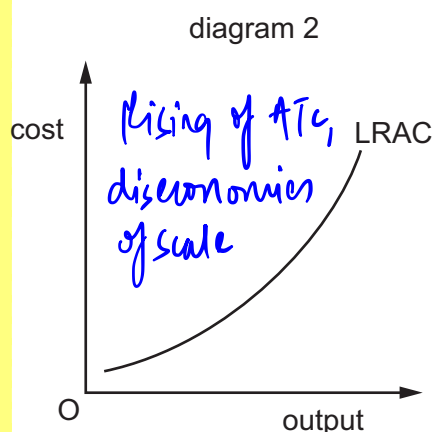
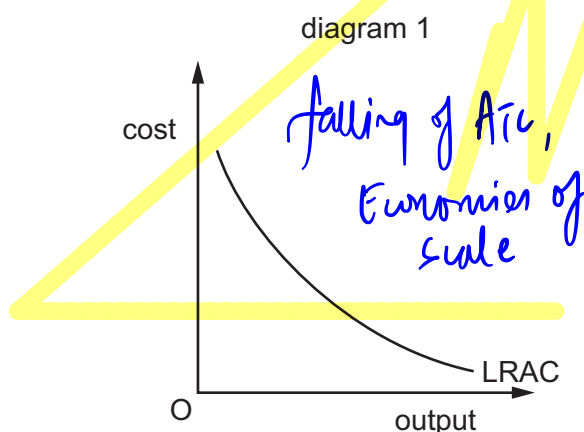
happens when you have complete information, which is not possible in reality.

Correct, it's reality, budget constraint.

Not in reality, we are irrational, influenced behaviour

↳ No, law of diminishing MU, the word 'always' is important.

3 Diagrams 1 and 2 show different long-run average cost curves (LRAC).



Which situations do the two diagrams show?

	diagram 1	diagram 2
A	falling returns to scale	average cost is greater than marginal cost
B	falling returns to scale	rising returns to scale
C	unit cost falls as output increases ✓	falling average fixed costs
✓ D	unit cost falls as output increases ✓	unit cost rises as output increases ✓

- 4 A government makes it compulsory for motorbike riders to wear helmets. *External benefit*

What would represent a positive externality of consumption associated with this decision?

- ☒ A decreased pressure on the provision of health care *due to less accidents or severity of accidents.*
- ☐ B expenses incurred on surveillance of motorbike riders to ensure compliance *cost incurred by government*
- ☐ C increased life expectancy of motorbike riders *Private benefit, benefit of their action.*
- ☐ D increased profits of helmet manufacturers
↳ Private benefit to the producer

- 5 The table shows the market shares of firms selling a very similar product in a country between 2018 and 2020.

Total: 76.9 71.4

firm	2018	2020
Norton	28.4 ✓	27.4 ✓
Souton	18.9 ✓	17.6 ✓
Eastern	17.1 ✓	14.7 ✓
Western	12.5 ✓	11.4 ✓
Scotsdale	7.2	8.5
Welshpool	5.8	8.2
Greenland	3.9	4.8
Franklin	2.2	3.6
Bellweather	2.1	1.9
others	1.9	1.9

concentration ratio of 4 largest firms fell

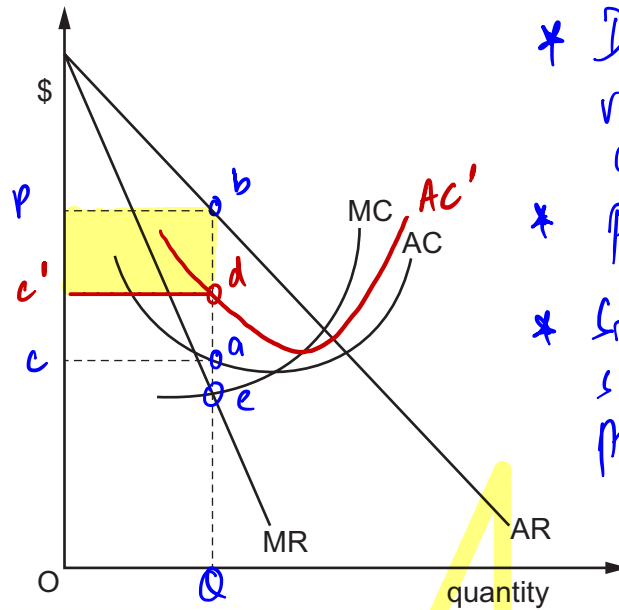
What can be concluded from the data between the two years?

- ☐ A Market concentration increased. *It decreased*
- ☐ B Sales of the top four firms fell. *can't conclude about sales*
- ☐ C Scotsdale and Welshpool's profits rose. *Table shows market share, not profits.*
- ☒ D The concentration ratio of the four largest firms fell.

$$MC = MR$$

4

6 The diagram shows a profit maximising firm in equilibrium.



What would happen to the firm's price, output and profit if there was an increase in its fixed costs?

	price	output	profit
A	rise	fall	rise
B	rise	fall	fall ✓
C	unchanged ✓	rise	rise
D	unchanged ✓	unchanged ✓	fall ✓

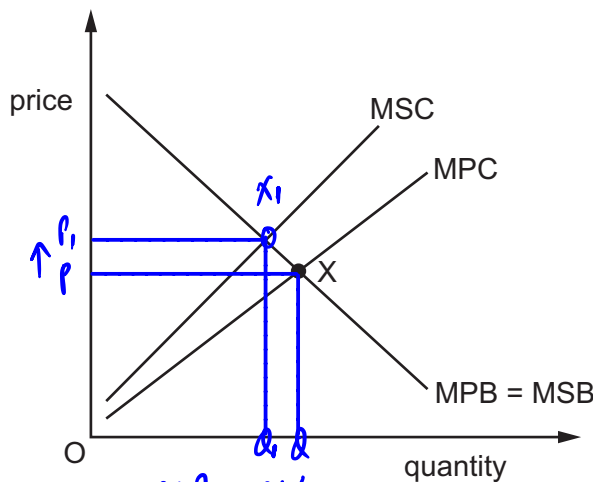
7 A bus company has a monopoly and specialises in long-distance travel. It initially sells its tickets to customers one month in advance of the journey. As the departure date approaches, the price of a ticket increases.

Which kind of pricing policy does the bus company operate?

- A minimum pricing (above equilibrium, protecting producers)
- B predatory pricing (set below cost)
- C price discrimination
- D price leadership (dominant firm setting the price for the industry, dominant oligopoly)

Charging different prices to different customers for the same product, seasons not associated with cost, it depends on price elasticity of demand

- 8 The diagram shows the marginal private benefit (MPB), the marginal private cost (MPC) and the marginal social cost (MSC) for firms in an industry. The equilibrium price is point X.



What should happen to achieve allocative efficiency?

- ✓ A a decrease in consumption and an increase in price
 B a decrease in production and no change in price
 C an increase in consumption and a decrease in production
 D an increase in price and no change in production

MPB takes into account MPC, which will shift it to MSC.
 Raising price and reducing consumption.

- 9 Firm X is considering whether to co-operate with its rival so that their joint profit is \$4000 a month (\$2000 each). It calculated that, if it did not co-operate, its own profit would be \$2800 a month provided it kept all its customers itself. However, if its rival undercut X's price and took some of X's customers then X's profit would be \$1200. It has no knowledge of what the rival's policy will be.

* Profit satisficing is when a company makes enough profit to satisfy its influencers: enough profit for shareholders to be happy with their return; enough profit to pay workers a good wage

What describes the situation that the firm is facing?

- A monopoly profit maximisation ($MC=MR$)
 B principal agent problem (Divorce of ownership and control)
 ✓ C prisoner's dilemma
 D satisficing

This is a classic **game theory scenario**, where each firm must decide whether to **cooperate** or **compete** without knowing the other's decision. Cooperation yields shared profit (\$2000 each), but if one defects and undercuts the other, it can earn more (\$2800) while the other earns less (\$1200). The lack of trust and interdependence creates the prisoner's dilemma, where **self-interest may lead to worse outcomes** for both firms.

- 10 A smartphone manufacturing company takes over an electronic chip design company.

This is an example of which type of growth?

Key input

- A horizontal, same industry, same stage

- B lateral

- ✓ C vertical backwards (Secondary to primary)

- D vertical forwards (If chip design would have taken over manufacturing company)

Horizontal integration, also known as lateral integration, is a strategy in which companies gain ownership of other related companies in the same industry. Typically, this is done to reduce competition and strengthen the company's position in the industry.

B) This is **not** a valid reason to subsidize green energy because, in economic theory, markets are already assumed to be efficient unless there is a clear market failure. Subsidies, by themselves, distort market prices and can lead to overproduction and deadweight loss. Therefore, claiming that subsidies will simply "make markets more efficient" is vague and unsupported unless linked to a specific failure. Subsidies also lead to producers becoming more inefficient.

11 What is **not** a valid comment economists may make regarding the need to subsidise a green energy market that uses solar and wind power?

- A It is cheaper to use the plentiful supply of coal. *coal is abundant and cheap, making it more attractive in a free market. valid.*
- B Markets will become more efficient. *Subsidy makes producers dependent, thus inefficient.*
- C The value of the positive externalities cannot be estimated. *External benefit can't be estimated, valid.*
- D The value of the negative externalities cannot be estimated.

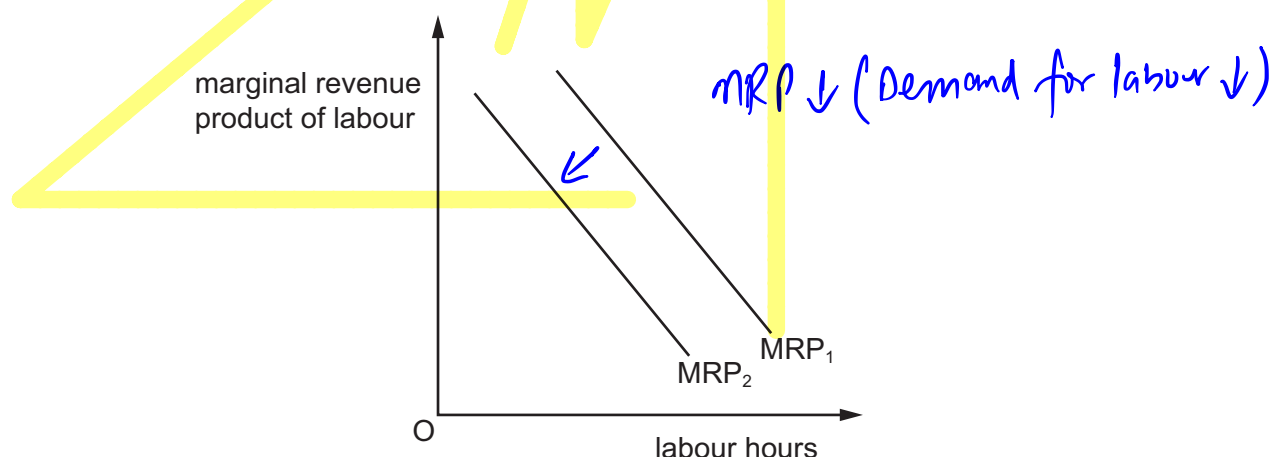
Fossil fuel causes harm like pollution, External cost can't be estimated, valid

12 In which situation is the introduction of a minimum wage most likely to raise employment opportunities as well as wages?

- A Firms face intense competition both at home and abroad. *wage ↑, cost ↑, price ↑, TR ↓, employment will not increase*
- B Labour costs are a high proportion of the total cost of the firm. *wage ↑, higher increase in total cost, employment will not rise*
- C The minimum wage is not high enough to lower the profits of the firms. *Then even it will increase cost so higher unemployment.*
- D The minimum wage introduced in monopsony is less than the marginal revenue productivity (MRP) of the last worker employed. *means, $MRP > MC_L$, so wage and employment will both rise.*

Diagram, surplus of workers.

13 The diagram shows a firm's initial marginal revenue product of labour curve (MRP_1).



What could cause the curve to shift to MRP_2 ?

- A a fall in the wage rate, *wage factors, movement*
- B a fall in the price of the final product *→ $P ↓$ $Q ↓$, production ↓, less workers needed, $MRP ↓$ (demand ↓)*
- C a rise in the wage rate
- D a rise in the price of the final product, *opposite of option B.*

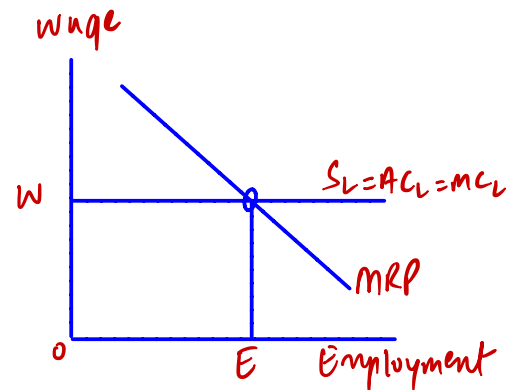
same as option A

- 14 A firm operates in a perfectly competitive labour market.

The table shows the marginal revenue product (MRP) and marginal cost of labour (MCL) for each additional worker employed by this profit-maximising firm.

where $MRP = MCL$

units of labour employed	MRP	MCL
1	50	30
2	40	30
3	30	30
4	20	30



How many units of labour will this firm employ?

- A 1 B 2 C 3 D 4

- 15 Countries in South East Asia have some of the highest income inequality in the world.

Which policy could be adopted by governments in South East Asia to reduce income inequality in the short run?

- A Increase the general sales tax/VAT rate on luxury goods. *→ Regressive, poor worsens, takes greater proportion of their income in tax*
- B Introduce a minimum wage. *wage ↑, absolute poverty ↓, inequality ↓*
- C Invest heavily in schools and education programmes. *longrun, question asks for short run*
- D Stimulate economic growth through skills and productivity training. *again longrun policy*

- 16 When buying a car, Salma agrees to pay half of the cost now and the other half in six months time.

Delay, pay at a later date

Which function of money does this illustrate?

- A divisibility B durability C standard of deferred payment D store of value
- Not a function of money*
- * In economics, standard of deferred payment is a function of money. It is the function of being a widely accepted way to value a debt, thereby allowing goods and services to be acquired now and paid for in the future.
- * Store of value is an asset that can retain its purchasing power into the future and can be retrieved to be used again at a later time. Money has a store of value because it is an asset that can be invested, stored in a bank, left in a safe at home, and then later used to purchase something in the future.

First, money is a convenient store of value. Because it is durable and portable, it's easy to save. Second, money is a unit of account. Because it is uniform and divisible, it's easy to tell exactly how much money is in a given amount, and how much exactly a certain item will cost.

- 17 When is the natural rate of unemployment most likely to fall?

- A when there is a decline in the education levels of workers *Unemployment ↑, occupationally immobile*
- B when there is an increase in income tax rates *reduce incentive to work, NAIRU ↑*
- C when there is an increase in labour mobility *both geographical and occupational, NAIRU ↓*
- D when there is a rise in the rate of state unemployment benefits *reduces the urgency to work, NAIRU ↑*

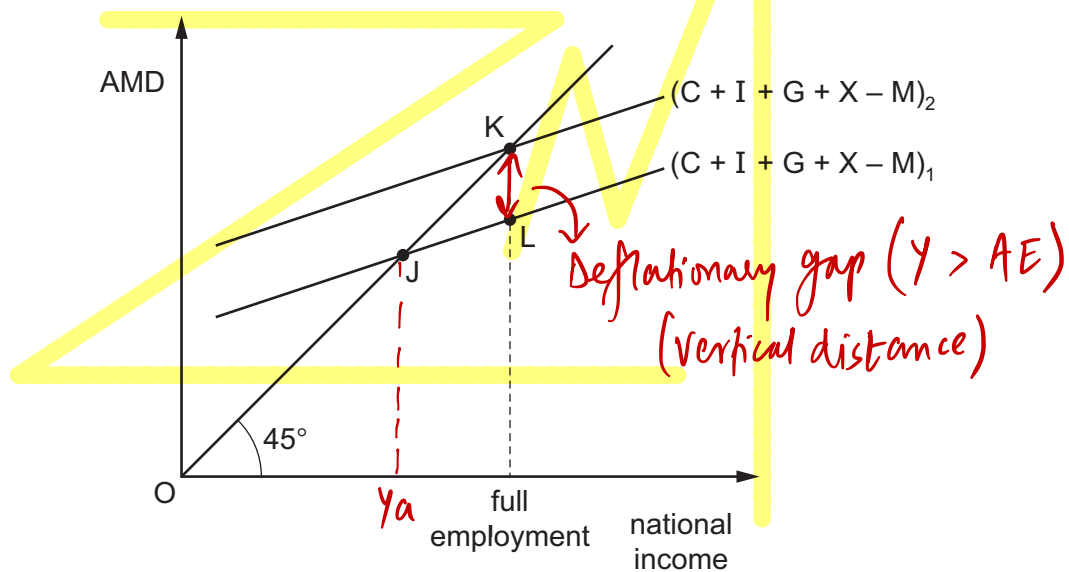
frictional, seasonal, structural unemployment ↓

efficiency ↑ *given inputs producing higher output, 8* → Actual ↑ *efficient allocation of resources*

18 A country has increasing productivity and falling unemployment.

What can be concluded from this information?

- ✓ A Economic efficiency has increased.
 - B Interest rates have increased. *↑, C ↓, I ↓, AD ↓, output ↓, unemployment ↑*
 - C Taxation has increased. *C ↓, I ↓, same as option B.*
 - D The labour force has increased. *that includes employed + unemployed, can contribute to high unemployment, also doesn't necessarily related to productivity.*
- 19 The diagram shows full employment, national income, and expenditure (AMD). The economy is in equilibrium at J.



What does the distance KL represent?

- ✓ A a deflationary gap
- B a trade deficit *(related to $M(TE) > X(TE)$)*
- C an inflationary gap *(when $AE > Y$), it would less than equilibrium 'J'.*
- D an employment gap *(Not correct term used in macroeconomics).*

Earning less - Income tax revenue ↓
 Spending less - Indirect tax revenue ↓
 Loss for companies - Corporation tax revenue ↓

- 20 A country experiences an increase in unemployment due to deficiency of aggregate demand.

What will be the effect of this on tax revenue and government expenditure, assuming that tax rates and rates of unemployment benefit remain unchanged?

	tax revenue	government expenditure
☒ A	decrease ✓	increase ✓
☐ B	decrease ✓	no change
☐ C	increase	decrease
☐ D	no change	increase ✓

→ G↑ on unemployment benefits, that is transfer payments.

AD↑, output↑, employment↑

- 21 A government is successful in raising the rate of economic growth.

As a result, which other macro-economic aim would it most likely have achieved in the short run?

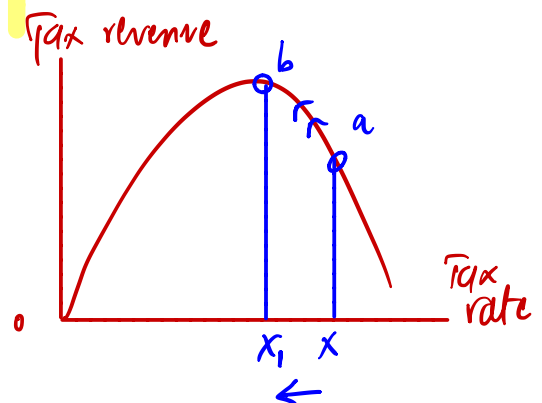
- A balance of payments surplus, growth, income ↑, m(TE), BoP negative
☒ B higher employment, correct as AD↑
 C lower inflation, AD↑, AD↑ > AS: price ↑
 D stronger exchange rate, BoT worsen (option A), so exchange rate ↓

- 22 Which argument for lowering income tax rates is always valid?

- A It boosts economic activity, not always, if confidence is low
 B It promotes the incentive to work, not always if work hours are rigid
 C It reduces the budget deficit, wrong, it worsens budget deficit
☒ D It reduces the incentive to evade taxes.

→ always valid

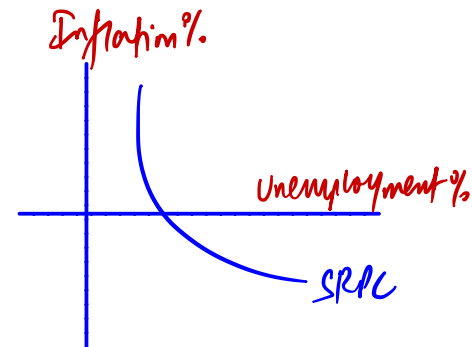
→ Tax evasion
 → Tax avoidance
 → Laffer curve



- 23 The table shows the percentage of labour force unemployed and the rate of inflation in a country over a five-year period.

negative relationship

year	unemployment %	inflation %
1	3.5	4.0
2	4.1	3.6
3	4.3	2.5
4	4.5	2.2
5	4.8	2.0



Which statement about the application of the Phillips curve theory to this country is most supported by the data?

- ✓ A The data are entirely consistent with the theory of the Phillips curve.
- B The data prove conclusively that the Phillips curve theory does not operate. *wrong*
- C The data suggest that no conclusions can be reached about the validity of the Phillips curve theory. *wrong*
- D The data suggest that the theory of the Phillips curve is correct, though with time lags. *wrong*

- *Kuznet's curve*
- 24 What indicates that a more equal distribution of income has been achieved?

- A a faster rate of economic growth *Economic growth benefits rich, inequality ↑*
- B a higher Human Development Index *(Health, education, income) (Economic development)*
- ✓ C a lower Gini coefficient *Gini coefficient represents inequality, so lower value represents fall in inequality*
- D a lower tax / GDP ratio *misleading, it may reflect less redistribution, not more income equality*

- 25 In 2018, the United States (US) government introduced tariffs on a wide range of imports from China.

Which type of policy was the US government adopting?

- A expenditure-reducing *(contractionary fiscal and monetary)*
- ✓ B expenditure-switching *(Tariffs, Quotas) (Protectionist tools)*
- C expansionary monetary *(MS ↑, R ↓, Credit regulation)*
- D contractionary monetary *(Expenditure reducing)*

↓
Expansionary policy
worsen BOP.

- 26 A US company receives a US\$20 million dividend from shares that it owns in a Brazilian company.

How would this dividend be shown in the balance of payments of the United States?

- A a credit in the capital account
 ✓ B a credit in the current account
 C a debit in the capital account
 D a debit in the current account

↳ Debit (outflow)

↳ Inflow
 ↳ Credit
 ↳ dividend recorded in current account primary income

- 27 An increase or decrease in exchange rates can take place in both a floating and a fixed exchange rate system but different terminology is used for each system.

What is the correct terminology?

	floating rate decreases	fixed rate increases
A	depreciation ✓	appreciation
✓ B	depreciation ✓	revaluation ✓
C	devaluation	appreciation
D	devaluation	revaluation ✓

fixed ER
 Devaluation
 Revaluation

vs floating ER
 Appreciation
 Depreciation

- 28 Company X is a multinational company that produces batteries for electric cars. It decides to invest in a new factory in country N.

Under which conditions is this investment most likely to improve the current account balance on the balance of payments in country N?

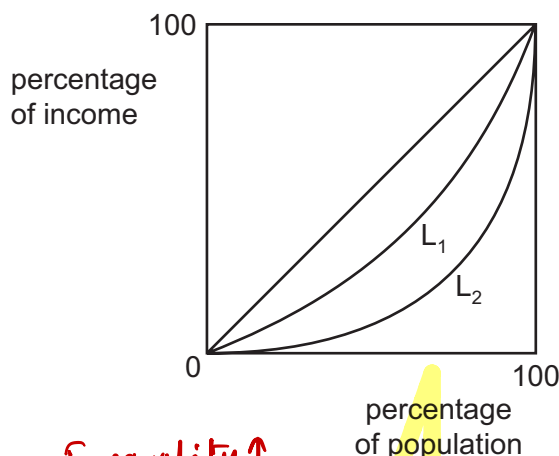
	% of raw materials used to make batteries supplied by country N	income elasticity of demand for electric cars outside country N
A	10	0.5
B	10	1.5
C	90	0.5
✓ D	90	1.5

↳ less dependent on abroad for raw materials, lowering import expenditure.

↳ Higher responsiveness from global for demand of cars, raising exports.

The **best improvement in the current account** comes when imports are low and exports rise. If 90% of inputs are locally sourced, few imports are needed — limiting **import leakage**. A high income-elasticity (1.5) means global demand for electric cars is **very responsive** to income growth, raising exports. Together, these conditions improve the **trade balance**, strengthening the current account.

29 The diagram shows two Lorenz curves.



If the Lorenz curve shifts from L_1 to L_2 , what is least likely to have caused this?

- A Capital gains tax has been reduced. (Benefits rich, inequality $\uparrow$)
- B Income tax has been made more progressive. This reduces inequality
- C Inheritance tax has been reduced. (Benefits rich) (wealth) (inequality $\uparrow$)
- D The tax-free allowance has been decreased for everyone. (worsens poor) (inequality $\uparrow$)

30 What is a likely result of globalisation?

- A Absolute advantage replaces comparative advantage as the basis for trade.
- B Firms' supply chains are shortened. No, firms can source input globally
- C Trade is less likely to suffer from international economic shocks. globalization increases international shades as economies become interdependent.
- D There are higher standards of living.

Globalisation encourage free trade, thus specialization, that is based on comparative advantage, not absolute.

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